

and service providers face technology license fees that will increase as the market expands. Independent portals will be under significant threat as Microsoft extends its wireline Internet service provider businesses to the mobile environment.

Supporting Evidence

Recent developments that support this scenario include:

- m Microsoft's Rollout: Microsoft is increasing its stake in the mobile market by connecting its Pocket PC platform to operator infrastructure in Europe and North America. The company has also supported the development of HTC-manufactured Smartphone, now being sold through Orange.
- m Traditional Handset Companies Rallying: Device manufacturers recognize the threat and have joined forces under the auspices of the Symbian operating system.
- m Smartphone features enforce Microsoft's position: Microsoft will be able to sell mobile-enabled business and consumer software solutions that offer synchronization with desktop versions.

Conclusion

The mobile entertainment industry, while still in its formative stages, shows signs of incredible potential. The existing value chain and the major drivers of its development will significantly affect the future of mobile entertainment. The four scenarios presented in this paper are the most likely models that will emerge after the industry stabilizes. While the scenarios are each characterized by a dominant player, the research makes clear that there are considerable revenue-generating opportunities to be leveraged by companies in all stages of the value chain. We are already seeing a number of enablers in the mobile entertainment value chain (WASPs; mobile delivery and portal provisioning companies) generating significant revenue as a result of building up a specialization in the value-chain. Consequently, the MEF believes that non-dominant players who develop a unique scalable service in the mobile entertainment value-chain while avoiding the identified pitfalls stand to gain substantially under one or more of the scenarios presented. By considering the technological and strategic impacts of each, individual companies should be more successful and the industry as a whole should benefit.